

THE CONSEQUENCES OF THE WAR

Economic history

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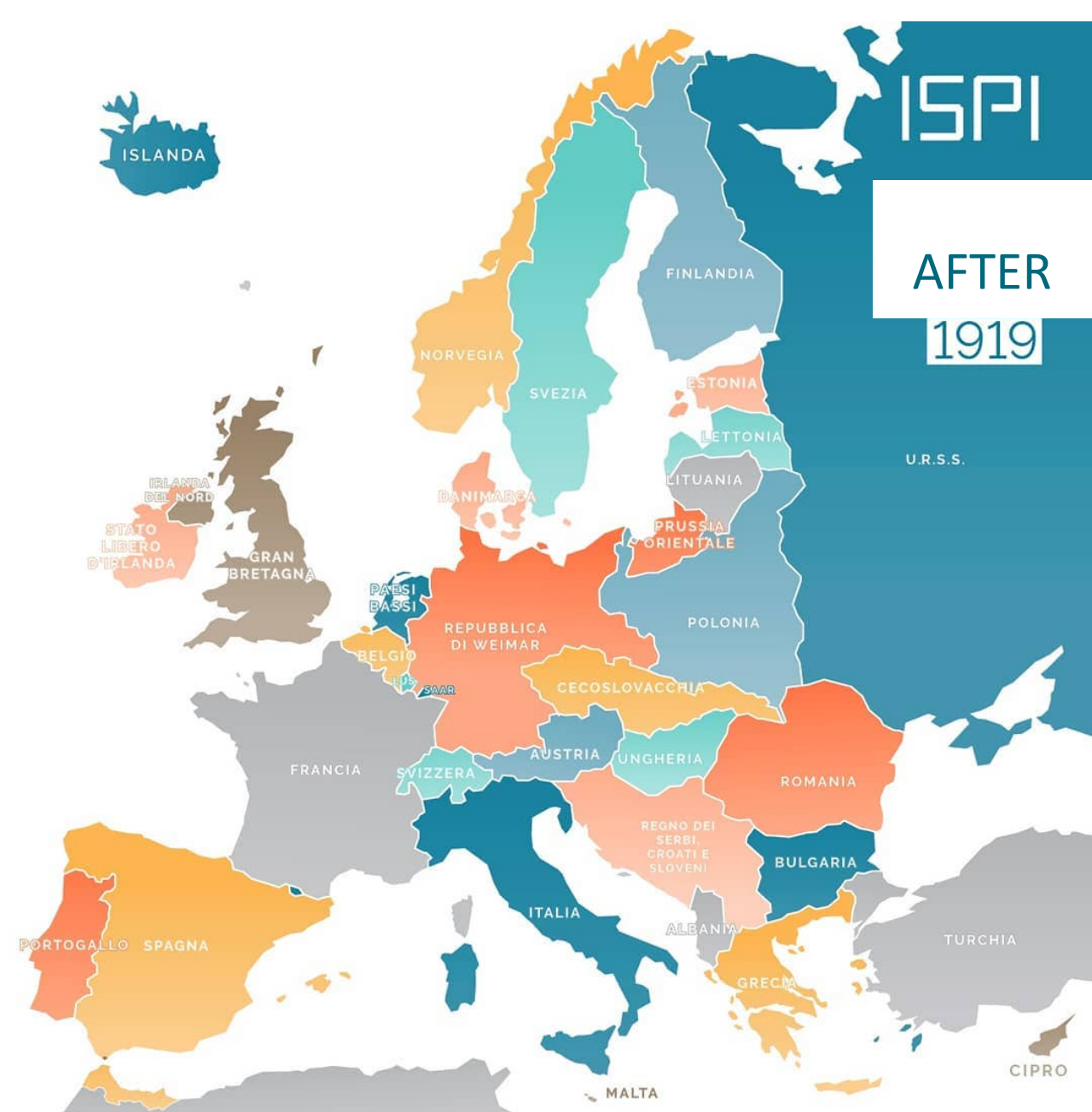
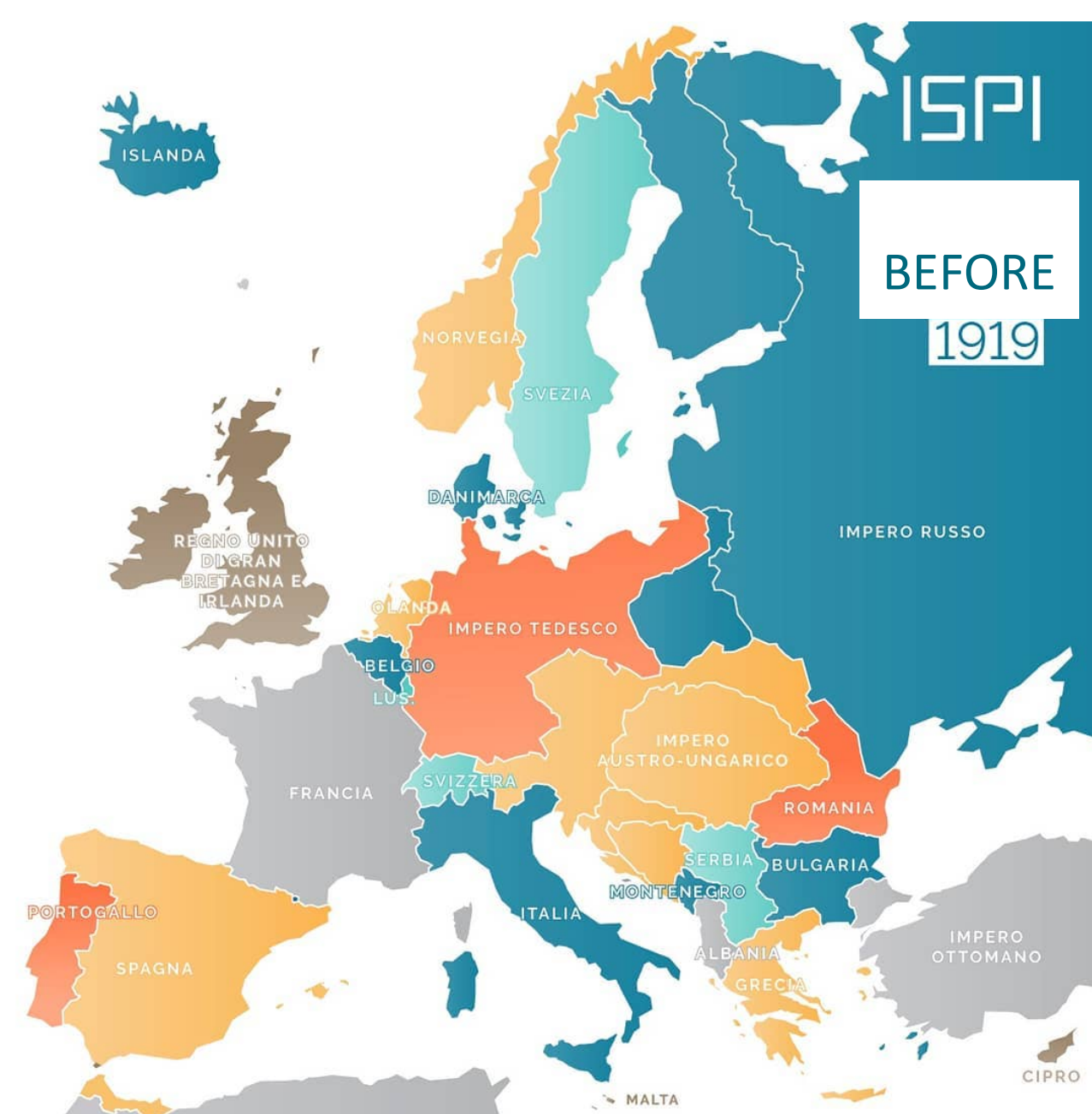
IN THIS EPISODE

- The consequences of peace
- The end of monetary stability
- The Reconstruction of the Payment System and the Roaring Twenties

THE CONSEQUENCES OF PEACE

- The American intervention changed the fate of the war: in November 1918 Austria-Hungary and Germany signed the armistice.
- The Treaty of Versailles in 1919 officially ended the conflict after a laborious peace process. A number of punitive impositions and debts were imposed on Germany.
- Two major problems emerged from the peace treaty:
 - growth of economic nationalism
 - monetary and financial instability





THE CONSEQUENCES OF THE WAR

- ▶ Governments across Europe and the U.S. faced immense, overlapping crises as they transitioned from total war to peacetime.
 - The switch from producing military supplies (munitions, uniforms) back to civilian goods.
 - Mass layoffs and closures in war industries led to severe short-term unemployment.
 - Millions of returning soldiers needed immediate jobs, housing, and medical support.
 - The sudden influx of veterans overwhelmed the job market, driving up unemployment rates and lowering wages for all workers.
 - Widespread poverty and disillusionment fueled the rise of radical political movements (socialists, communists, fascists) demanding system change.



Bundesarchiv, Bild 146-2003-002-22
Foto: Seiler | 1920/1929 ca.



THE AGE OF UNEMPLOYMENT

“The outstanding economic problem of the interwar period in all countries was undoubtedly unemployment. Next to war, unemployment has been the [...] most corroding malady of our generation; it is the specific disease of western countries in our time”.

(Arndt 1944)

- Mass unemployment largely unknown before 1914
- Quantitative evidence
 - Before WWI unemployment was of shorter duration, only cyclical
 - Sustained high levels in 1920s, exceptionally high in 1930s

Average unemployment rates in Europe (%)

1921–1929	1930–1938	1950–1959	1960–1973	1974–1981	1982–1989	1990–1993
8.3	15.8	4.2	2.5	5.2	8.8	9.2

Source: Feinstein et al (2008), *The World Economy between the World Wars*, p. 14

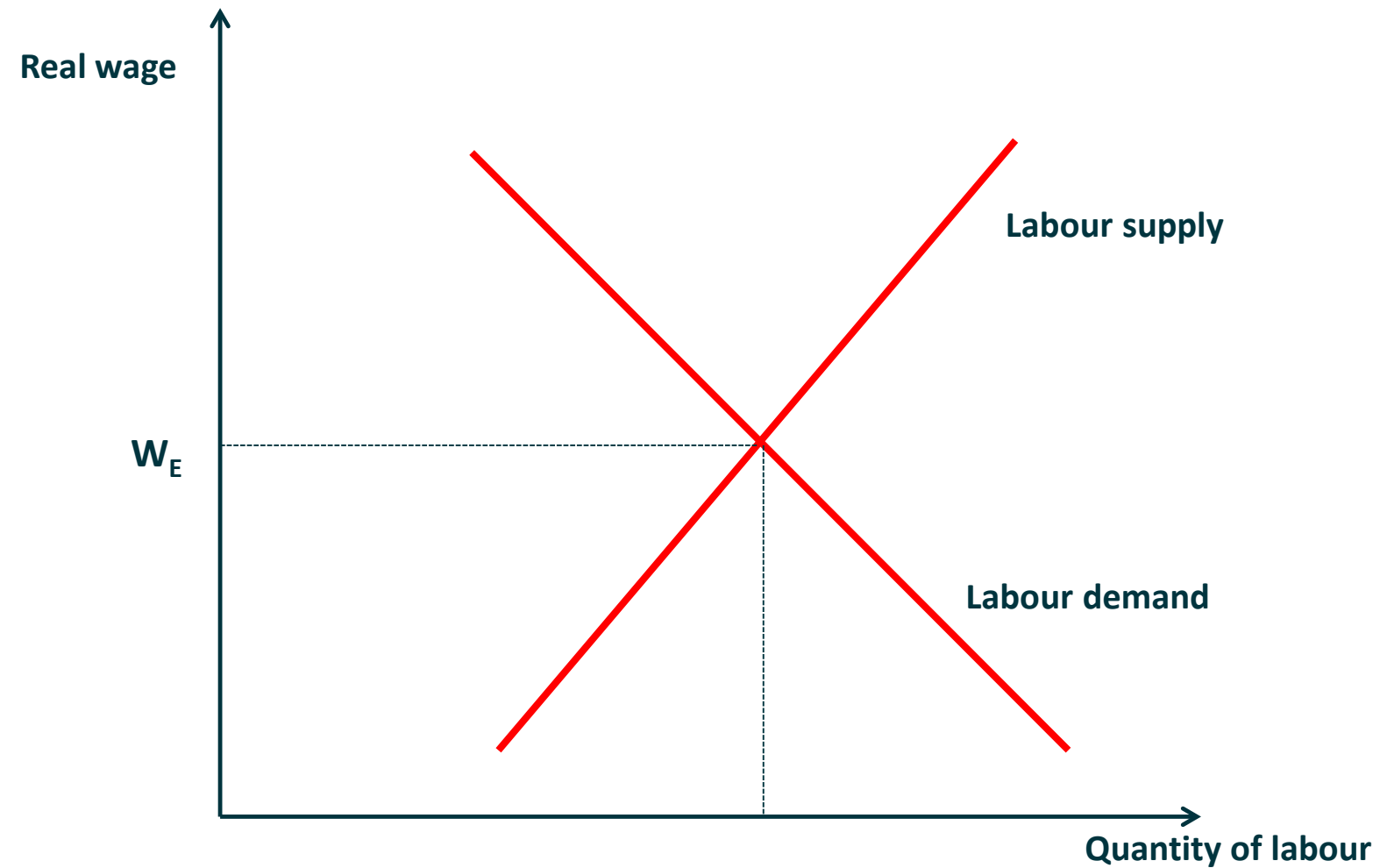


WHY WAS UNEMPLOYMENT SO HIGH?

1. The 'classical economics' view
 - Labour markets are flexible
 - Unemployment is mostly voluntary
 - Fiscal policy is not needed to create employment
2. The Keynesian view
 - 'Sticky wages': downward wage adjustment is difficult
 - Unemployment is involuntary
 - Government needs to boost aggregate demand

'Due to 'sticky wages', the overvalued exchange rate and negative demand shocks after 1929 were the fundamental causes of mass unemployment.'

Keynes (1931), 'The Economic Consequences of Mr Churchill'



W_E : equilibrium wage ; L_E : quantity of labour supplied

THE CLASSICAL MODEL

- Wages and prices are flexible
- The supply and demand of labour determine
 - the equilibrium price of labour
 - the quantity of labour supplied at the equilibrium wage
- There is no involuntary unemployment:
 - everyone looking for a job paid at the equilibrium wage gets one
- Unemployment is voluntary
 - Unemployed are workers who find the equilibrium wage is too low
 - Given the equilibrium wage, they prefer not to work

PRODUCTIVITY IMPROVEMENTS

- While unemployment rose, the productivity of those who kept their jobs continued to increase.

	Average annual growth rate of value-added per worker (%)				
	1870–1913	1913–1950	1950–1973	1973–1990	1990–1998
Western Europe ^a	1.55	1.56	4.77	2.29	2.16
United States	1.92	2.48	2.77	1.41	1.74
Japan	1.99	1.80	7.74	2.97	2.13

Source: Feinstein et al (2008), *The World Economy between the World Wars*, p. 15

- Plausible explanations
 - Continuing technological progress (electrification & motorization)
 - Improved human capital (expansion of public education)

WHAT ABOUT GROWTH?

Table 1.2 Growth of real GDP per capita in Europe, the United States, Latin America, Japan, China, India, and the Soviet Union, 1913–1950 (average annual rates of growth)

	Western Europe	United States	Latin America	Japan	China	India	Soviet Union
1913–50	0.8	1.8	1.4	0.9	-0.8	-0.3	1.1
1921–38	2.0	0.8	1.4	1.8	n.a.	-0.1	n.a.
1921–29	3.5	3.3	2.6	2.0	n.a.	0.9	n.a.
1929–38	0.7	-1.3	0.4	1.7	0	-1.0	4.9

Source: Maddison (2001), 104–11, 180–87.

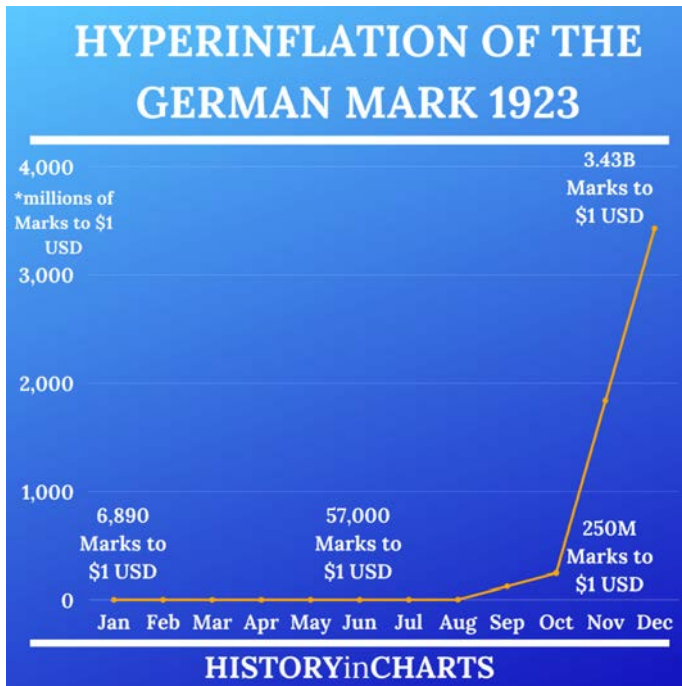
THE END OF MONETARY STABILITY

- The result was **hyperinflation**, as Germany continued issuing money to pay its **debts** and to try to manage the **economic turmoil** still present in its territory.
- German mark collapsed to 0.02% of its pre-war value
- Wholesale prices rising at the astronomical rate of 335 percent per month h from August 1922 to November 1923



THE END OF MONETARY STABILITY

- ▶ In 1923 the exchange rate between the mark and the dollar had reached unimaginable levels: 4,200,000,000,000 marks for one dollar.
- ▶ The monetary authorities withdrew the mark from circulation and replaced it with the Rentenmark.



THE AGE OF INSECURITY

- The United States rose to the rank of a new world power:
 - they did not want to fully assume the international responsibilities of their economic supremacy
 - they did not join the **League of Nations**
 - The heaviest conditions were imposed on Germany:
 - it was deprived of part of its national and colonial territory
 - it had to surrender its navy, arms and munitions, locomotives, etc.
 - The most 'humiliating' aspect was Article 231 by which Germany was made responsible for the war and had to pay reparations.
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WWI: THE AGE OF INSECURITY

- Profound marks on the economies of many countries.
- The states that emerged from the dismemberment of the Habsburg Empire
 - national character → economic self-sufficiency.
- Economic nationalism → Russia and other western countries, including England:
 - **tariffs** introduced during the war were not removed
 - several **bilateral treaties** were signed abandoning the principle of the MFN clause
- Many governments decided to adopt **austerity policies**
 - restore balance and contain inflation.
- This made reconstruction even more difficult, and many became convinced that a return to the gold standard would be sufficient to resolve this unstable situation.

WWI: THE END OF MONETARY STABILITY

- ▶ The restoration of the Gold Standard was, however, hampered by some serious elements of international imbalance.
- ▶ American gold reserves had quadrupled as a consequence of (a) the supply of goods and services to its allies and (b) US investments in Europe.
- ▶ Inter-allied loans had to be paid off:
 - US creditors – GB, FRA, ITA and Belgium debtors
 - The loans between the European allies were only nominal. The European states had convinced themselves that this would also be the case for loans from the US. But the US demanded full repayment of the capital!

WWI: THE END OF MONETARY STABILITY

The issue of German reparations remained open, which amounted to

- 33 billion dollars (more than twice the German GDP)
- with prohibitive annual instalments.

Despite the German difficulty in coping with payments:

1. France and England insisted on indemnity payments as well
2. In 1922, Germany suspended payments
3. In 1923 French and Belgian troops occupied the Ruhr taking control of the mines and railways

The reconstruction of the payment system

Solution → return to the gold standard?

Global monetary and financial imbalances on both sides of the Atlantic to solve

It was essential for the US to grant credit to stabilise both its own and many other national currencies.

The US was convinced to help Europe because:

- they feared total economic and monetary collapse
- they feared possible Soviet-style revolutions